



BEST FINTECH
IN LENDING
LENDINGKART

FOCUSED ON MSMEs Harshvardhan Lunia,
Co-founder and CEO, Lendingkart

THE SMALL FIRM'S BEST FRIEND

Lendingkart, a fintech that posted its highest-ever PAT in FY23, is making credit available to MSMEs in India's far-flung areas

BY RAHUL OBEROI



ARSHVARDHAN LUNIA,

42, has seen small businesses and their struggles from early in his life. A chartered accountant by training who comes from a business family, he saw the dearth of institutional financial support for such enterprises early in his career. This led to him founding fintech start-up Lendingkart along with his schoolmate Mukul Sachan, in 2014. Their aim: to revolutionise access to finance for micro, small and medium enterprises (MSMEs) through innovative tech solutions and cash flow-based lending.

Business has been good over the past decade and while Sachan left the Ahmedabad-based firm in 2019, Lendingkart has grown from strength to strength. Under Lunia's watch, it posted its highest-ever profit after tax (PAT) and total income in FY23. No wonder that it has emerged as the Best Fintech in Lending in the BT-KPMG Best Banks and NBFCs Survey 2022-23.

Lunia recalls that initially, it focussed on direct lending. But, over time, it recognised the limitation of this approach in addressing the vast credit gap for MSMEs. "This realisation led to a strategic shift towards co-lending partnerships with banks and NBFCs to leverage their resources and expertise. Today, more than 80% of our business is through co-lending," says the Co-founder and CEO of Lendingkart, which operates as a Reserve Bank of India-registered NBFC. The fintech has names such as Punjab National Bank, Canara Bank, Bank of Maharashtra, IDFC First Bank, Aditya Birla Capital, and U Gro Capital among its co-lending partners. Incidentally, in its latest report, RBI's expert committee on MSMEs said the sector has an estimated credit gap of ₹20-25 lakh crore.

Lendingkart, which has raised

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